ARDEN STATE ENERGY OFFICE — CONSOLIDATION IN FUEL DISTRIBUTION

Occasional paper, prepared for the Committee on Energy and Environment

1. THE QUESTION

The Committee asked why the number of sellers filing returns has fallen while total receipts have not. This paper answers that question and cautions against one comparison.

2. WHAT HAS HAPPENED

The number of registered sellers has fallen from 296 to 159 over five years. Almost the whole of the decline is among sellers below the $25 million reporting floor. That group has fallen by roughly 47.9 per cent in number and its aggregate receipts have fallen more slowly than its numbers, because the sellers acquired were on average larger than those remaining.

Acquirers have been the mid-sized wholesale distributors rather than the largest sellers. The largest sellers' in-state receipts have been broadly flat; they have not been the vehicle of consolidation in Arden.

3. THE CAUTION

A share computed for the aggregated small-seller group in one year is not comparable with the same share in another year, because the composition of the group has changed. The group's share of receipts is materially lower in the most recent year than the five-year cumulative share, and this reflects consolidation rather than any change in the market served. Users comparing a single year with the five-year period should expect the two figures to differ for this reason.

4. EFFECT ON THE DATA

Item detail for the acquired sellers ceases on acquisition and their receipts appear thereafter under the acquirer. The five-year series is not restated. The Office does not hold a restated series and cannot produce one.

Occasional papers represent the analysis of the Office's staff and not the position of the Office.